

who had nailed it. John and I had the same reaction, *Well, apparently, there is intelligent life out there*. We agreed that it would be interesting to put together a group of these guys who would share ideas with each other.

We came up with the idea of prequalifying people to join the group. I had been teaching at Columbia for a number of years. The only way you could join was to submit an investment write-up on a specific company that would have received an A+ in my class at Columbia. Perhaps only two or three students in my class achieve this grade each year—and they are a group of pretty smart people. So we really set the bar quite high.

Who would judge whether the original submission was good enough to warrant entry into the club?

Back then, I did, along with my partner, John Petry, who co-founded the club with me.

How many people are part of the club?

We limit it to 250 members.

You must get a ton of submissions from people who want to join the club.

We do. A lot of them are good, but we are looking for the great ones.

But how do you find time to go through them?

Originally, I helped, but now a board consisting of John Petry and a number of managers who we are close with handle that job. The people on the board are anonymous; we are the only ones who know who they are.

Has the club been a good source of ideas over time?

Yes, and one of the nice benefits has been that we have met incredibly talented people. We even helped some of them start their own funds. The people we backed are not big names. They are simply people who are passionate about investing. Most of them have chosen to run smaller amounts of money and get higher rates of return rather than build a big business.

So a lot of the members are hedge fund managers?